

TEST CODE **01240032**

FORM TP 2009110

MAY/JUNE 2009

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 03/2 – General Proficiency

1 hour

Answer ALL the questions.

**In addition to the 1 hour, candidates are allowed
15 minutes to read through this paper. Writing
MAY begin during this time.**

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This paper consists of a Case Study and a template for a Business Plan. You are required to use the information from the Case Study to complete the Business Plan.

CASE STUDY

The Caribbean Trade Agency is promoting an association of souvenir producers for the region.

All persons who make souvenirs are invited to become members of this association. An annual membership fee of \$500.00 will be charged at registration. The association will target souvenir producers of the Caribbean and estimates it will have 400 members by the end of 2009. The target is 800 members by the end of 2010.

The Caribbean Trade Agency is responsible for organizing trade shows, seminars, training and other marketing activities for its members. Promotion of the association's services to potential members is the job of the Agency's Director and Staff. The Director supervises a Marketing Officer, an Office Manager and a Bookkeeper. The Office Assistant is supervised by the Office Manager. The Director reports to an Advisory Council.

The association's goal is to promote the welfare of its members and provide opportunities for members to learn about new technologies and processes, and obtain training.

The Agency's Director is to develop a proposal to present to the government in order to receive financial support for the agency. The government is willing to assist but needs to see a plan. Therefore, the proposal must include a business plan complete with financial statements. The business plan will show the government how the financial support of \$100 per paid member, the monthly subsidy of \$20 000 and membership fees collected will be spent.

Monthly operating expenses include:

Expenses	\$ (dollars)
Administrative	3 000
Salary	10 800
Marketing	4 000
Travel	5 000
Telephone	1 000
Interest	500
Trade show	25 000

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Other transactions in the month of January that must be considered are as follows:

1. In January, 250 members registered and paid full membership fees.
2. A vehicle was purchased for the office at the cost of \$50 000.
3. Office equipment valued at \$35 000 was purchased.
4. A loan of \$55 000 was obtained at a bank to purchase the office equipment and vehicle.

Using the template below, complete the **Business Plan** with information obtained from the Case Study.

BUSINESS PLAN

1. The Operational Plan

Goals of association

(2 marks)

Type of business

(1 mark)

Structure of organization

(3 marks)

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Management functions

(2 marks)

Executive summary

(2 marks)

Total 10 marks

2. The Marketing Plan

Types of services provided

(2 marks)

Size of market

(2 marks)

Target market

(2 marks)

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Promotional activities for membership products

(4 marks)

Marketing activities for agency services

(4 marks)

Benefit of developing a logo

(4 marks)

Executive summary

(2 marks)

Total 20 marks

3. THE FINANCIAL PLAN (Financial Statement)

- (a) Complete the following Income Statement and Balance Sheet using information from the case study.

Income Statement for the month ended January 31, 2009.

Income:

Membership Fees	_____	(a)	(1 mark)
Government Grant	_____	(b)	(1 mark)
Subsidized Fees	20 000.00		
Total Income:		195 000.00	
Total Expenses:	_____	(c)	(1 mark)
Net Profit/Loss	_____	(d)	(2 marks)

Balance Sheet at January 31, 2009.

Assets:

Cash	195 000		
Equipment	35 000		
Vehicle	50 000		
Total Assets:	_____	(e)	(1 mark)

Liabilities:

Loan Payable	60 000		
Capital:	_____	(f)	(2 marks)

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- (b) Calculate the additional membership fees that will be collected by December 2009 if the agency meets its estimated goal of 400 members at the end of the year.

(2 marks)

Total 10 marks

END OF TEST